

Maximum Value

With Citi India's high-end customers now finally part of the Axis Bank family, the challenge lies in extracting the maximum value from them

BY ANAND ADHIKARI

14 |

► **CITI INDIA CUSTOMERS** can finally bank with Axis Bank. One year after the big-ticket Axis Bank-Citi retail assets transaction was completed, the country's third-largest private sector bank is finally integrating the foreign bank's operations. So, what exactly is Axis Bank gaining from the deal in which rival lenders like HDFC Bank and Kotak Mahindra Bank had refused to outbid the price (₹11,603-crore) it paid for the assets? For context, the

addition to Axis Bank's deposits is less than 5 per cent.

But another part of the deal grows Axis Bank's credit cards portfolio by 20 per cent and private and wealth management assets by over 33 per cent, with the employee

GROWING BIGGER AND BETTER
One year after the big-ticket deal, Axis Bank is finally integrating Citi's operations

count growing by less than 4 per cent. These figures, though, only scratch the surface of the deal. So, what is the full picture?

Let's analyse the value that these Citi businesses bring to the table. The Citi purchase is helping Axis Bank raise its low-cost current account and savings account (CASA) share of total deposits by 150 basis points—from 44.50 per cent to 46 per cent. The addition of Citi's credit cards portfolio increases Axis Bank's market share—from 11.4 per cent to 16.2 per cent. What is important is that Citi customers spend an average of ₹2.03 lakh annually per card, compared to ₹1.52 lakh by Axis customers. Then, the wealth management business of Citi brings in its affluent customer base of Citi-gold and Citi Priority customers, which has a vintage of more than a decade. The bulk of Citi's clients are under 45, an ideal demographic because of the high lifetime value they represent. Lastly, the employee addition brings in high-quality Citi employees, who are trained

